Residential Market Study

Calder Works, Lynchburg, Virginia | Prepared for Halvorsen Urban Partners LLC | March 20, 2023

Summary of findings

1. This study evaluates demand for the adaptive reuse of the Calder Shoe Company works as market-rate rental housing within the Lower Basin submarket of downtown Lynchburg.

2. For purposes of this analysis we have assumed the development program furnished by the sponsor in February 2023, comprising approximately 134 dwelling units distributed across all three structures on the site, together with ground-floor amenity space; the sponsor has advised that this program is preliminary and may change upon completion of historic review and final design, and our conclusions should be revisited if the unit count changes materially.

3. On that basis, the market can support the subject at the proposed rents, with stabilization within approximately fifteen months of first delivery.

Downtown housing

4. Downtown Lynchburg has seen steady conversion of former warehouse and industrial buildings into rental housing over the past decade. Recent conversions in the Lower Basin have stabilized within twelve to fifteen months and report occupancy above ninety-four percent.

5. The Lynchburg metropolitan area has a diversified economic base anchored by higher education, healthcare, advanced manufacturing and nuclear energy services. Employment has recovered to above pre-2020 levels, and the unemployment rate remains below the statewide average.

6. Renter households in the primary market area are younger and more likely to be single-person households than the regional average. Graduate students, hospital staff and young professionals represent the core demand segments for loft-style units.

7. Principal risks include delays in construction, competition from pipeline projects, and sensitivity of the renter base to local employment conditions. These risks are mitigated by the subject's location, historic character and limited competing supply in the immediate area.

Pipeline

8. Two projects totaling 210 units are in the development pipeline, of which one is under construction. The pipeline is modest relative to projected household growth and is not expected to materially affect lease-up of the subject.

9. Five comparable properties were surveyed, ranging from 48 to 162 units. Three are adaptive reuse projects and two are newer garden-style communities. Rents at the adaptive reuse projects carry a premium of eight to twelve percent over the garden-style properties.

10. Achievable rents for the subject were derived from the comparable survey with adjustments for unit size, finishes, parking and amenities. The concluded rents support the proposed unit mix and are consistent with recent leasing at the most comparable properties.

11. Absorption at comparable adaptive reuse properties has ranged from seven to eleven units per month. A pace of nine units per month is supported for the subject, assuming marketing begins ninety days before the first units are delivered.

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